

Brand Proposition



Contents

01. Problem Statement

02. Solution & Value Proposition

03. Market Opportunity

04. Business Model & Revenue
Streams

05. Competitive Landscape
& Differentiation

06. Go-To-Market Strategy

07. Lean Startup Validation
& Product-Market Fit

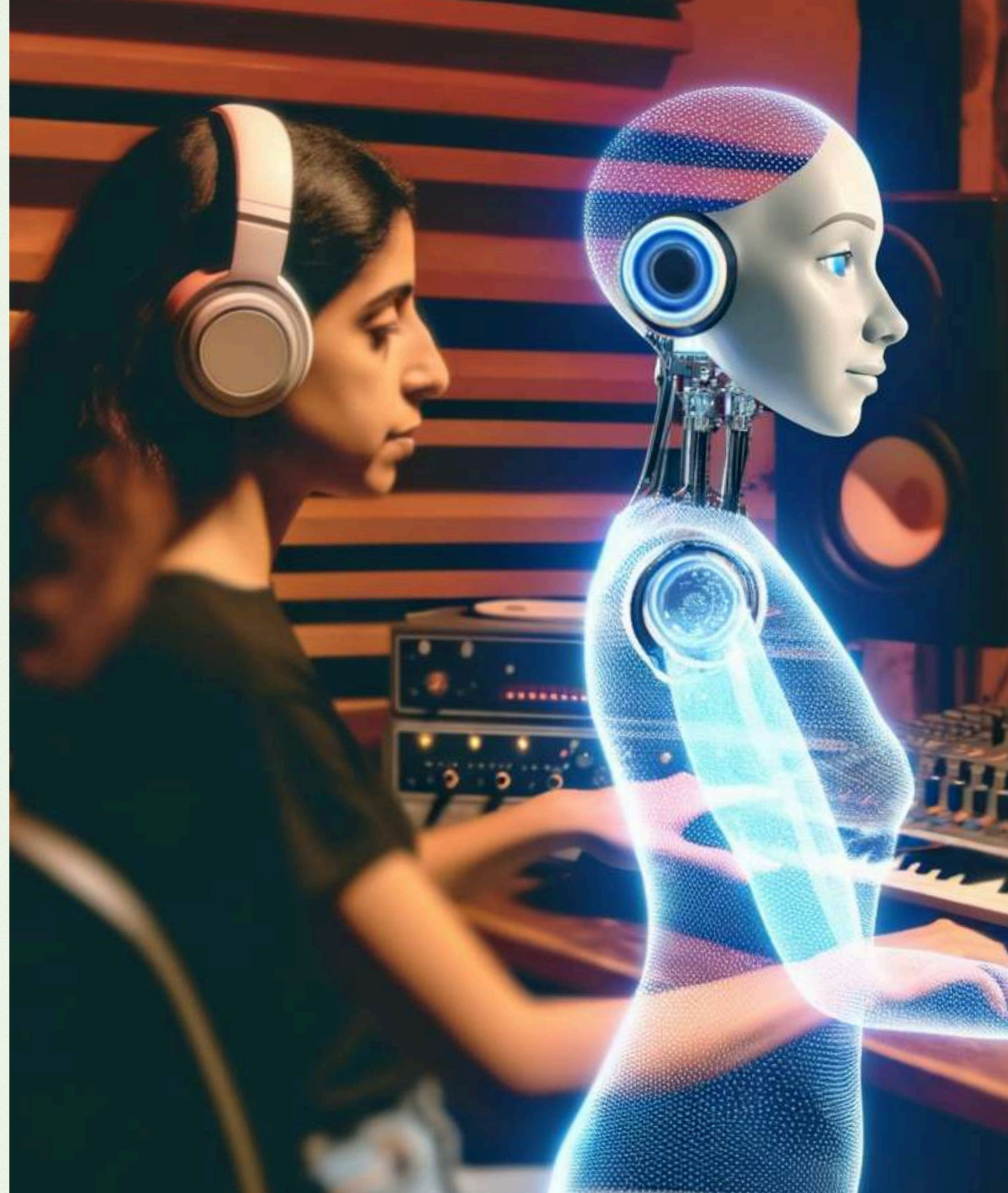
08. Key Metrics & Traction

09. Challenges & Risks

Spotlight

Spotlight is a companion app that connects to Spotify, adding a transparency layer that identifies and labels AI-generated music. Designed for both listeners and artists, Spotlight provides a clearer understanding of what is being consumed, helping users make informed choices while supporting a more balanced and trustworthy music ecosystem.

Through the platform, users can recognise and filter AI-generated tracks within their listening experience, while artists benefit from increased visibility and clearer differentiation between human-created and algorithmically generated content. Spotlight introduces a simple and credible way to bring transparency into modern music streaming, making discovery more informed, fair, and reliable.



Problem Statement



Main Problem

As AI generated music becomes more accessible, the volume of content on Spotify and similar platforms is increasing at an unprecedented rate. While this expands creative possibilities, it also makes it harder for users to understand what they are actually listening to.

Currently, there is no clear or standardised way to identify whether a track is created by a human or generated by AI. This lack of transparency reduces trust in the listening experience and creates uncertainty around authenticity. As platforms continue to prioritise engagement and scale, AI generated content can compete directly with human artists, often without users being aware of the difference.

Recent research shows that 97% of listeners cannot distinguish between AI generated and human created music, highlighting the growing difficulty in identifying content origin within streaming platforms (Deezer & Ipsos, 2025).

Target Audience

The most affected segments include **Gen Z listeners (16 to 24)**, young adults (**25 to 34**), and emerging **digital creators**, who engage heavily with streaming platforms and rely on authenticity, yet often lack clarity around **AI generated content**.

Statistics

- Around 75,000 AI-generated tracks are uploaded daily, making up a large share of new music (Deezer, 2025)
- Up to 44% of new music uploads on streaming platforms are AI generated
- 97% of listeners cannot reliably distinguish between AI and human-made music
- Up to 85% of streams on AI-generated tracks are fraudulent, linked to manipulation of streaming systems

Example Story

Alex and Maya, regular Spotify users, discover a new track by a band called “The Velvet Sundown” through a recommended playlist and quickly add it to their favourites. As the band gains popularity, reaching over one million monthly listeners, they assume it is a rising human artist and continue engaging with the music.

However, it is later revealed that “The Velvet Sundown” is an AI generated project, with the music entirely synthetic despite appearing authentic on the platform (Reuters, 2024).

At the same time, independent artists producing similar music struggle to gain visibility, as large volumes of AI generated tracks are distributed quickly and prioritised through algorithmic recommendations. This highlights how AI generated music can mislead users, distort discovery, and reduce trust in streaming platforms without clear systems for identification and transparency.



Solution & Value Proposition

Solution

Spotlight introduces a transparency layer within Spotify that identifies and signals AI generated music in real time. Rather than restricting or removing content, it focuses on making the origin of each track visible to the user.

By combining detection signals such as metadata patterns, release behaviour, and content characteristics, Spotlight classifies tracks and presents this information through simple, non-intrusive labels. This allows users to understand what they are listening to without disrupting their experience.

For listeners, this brings clarity in an environment where content is increasingly difficult to interpret. For artists, it creates a clearer distinction between human creativity and large scale AI generated output, supporting fairer discovery.



Key Features

- AI Detection Engine

Identifies AI generated tracks using patterns such as release behaviour, metadata signals, and content structure.

- AI Transparency Label

Clear, non-intrusive tag displayed on tracks to indicate AI generated content.

- User Filtering Controls

Allows users to include, exclude, or prioritise AI generated music within their recommendations.

- Listening Context Panel

Provides simple insight into why a track is classified as AI generated.

- Artist Verification Layer

Helps distinguish human created content, improving visibility for genuine artists.

- Algorithm Awareness Integration

Works alongside recommendation systems to give users more control over discovery without disrupting the platform.

Compliance & Feasibility

Spotlight is designed to operate fully within platform and legal boundaries. It does not analyse or reproduce audio files directly, but instead relies on publicly available metadata, release patterns, and behavioural signals to identify AI generated content.

By avoiding direct content processing and working with existing platform data structures, Spotlight remains compliant with copyright regulations and platform policies, which restrict scraping and the use of content for training AI models (Spotify, 2025).

Value Proposition

Spotlight enhances music discovery on Spotify by introducing clarity around content origin within an AI driven ecosystem. It enables users to understand whether music is human created or AI generated, reducing uncertainty and improving trust in platform recommendations. This value creation logic is further illustrated in the accompanying Value Proposition Canvas.

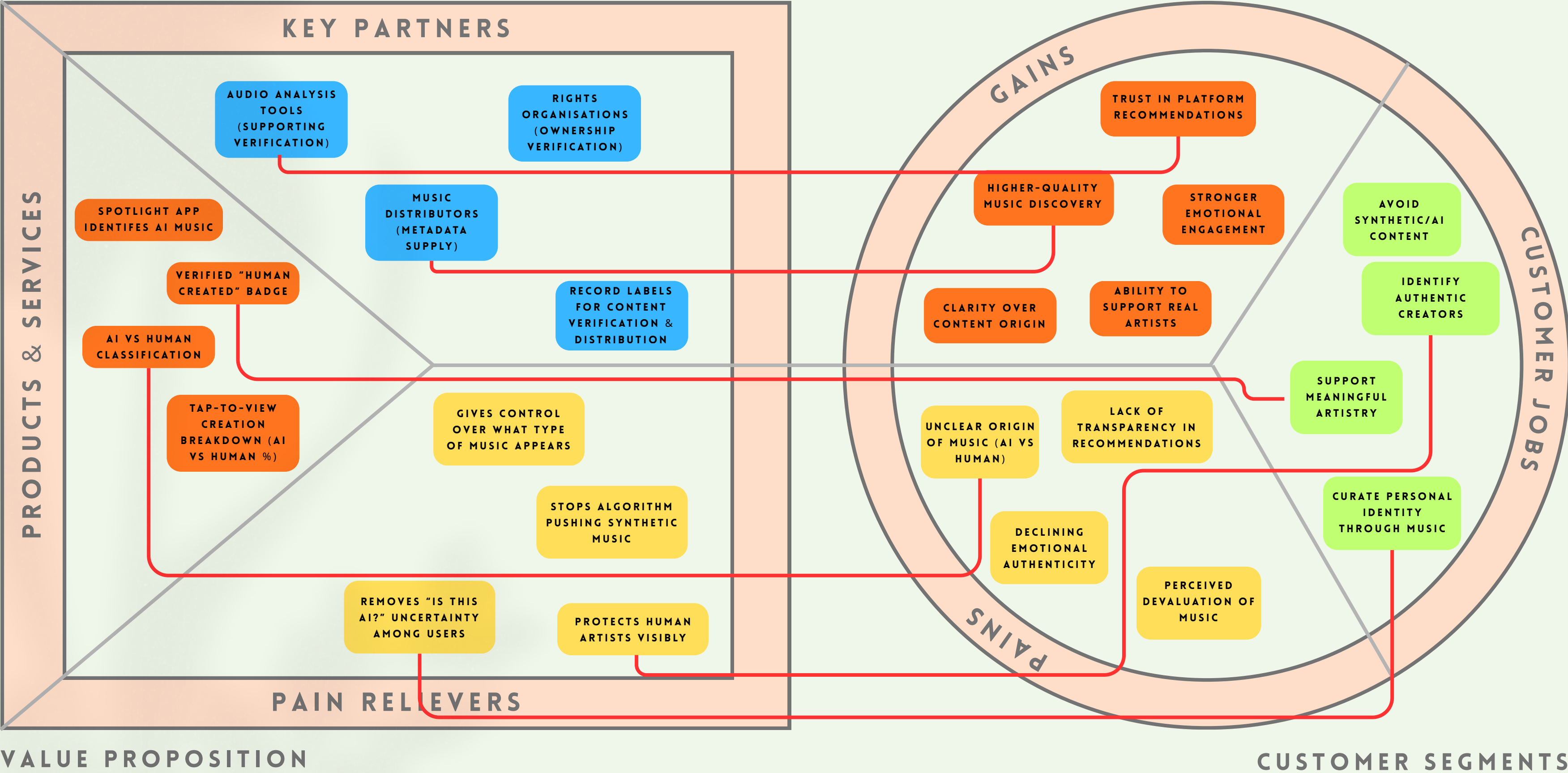
- For listeners:

Provides clarity over what they are hearing, enabling more informed choices, stronger emotional connection, and improved discovery.

- For artists:

Supports fairer visibility by distinguishing human created music from large scale AI output, helping creators stand out in an increasingly saturated environment.

Value Proposition Canvas



Market Opportunity

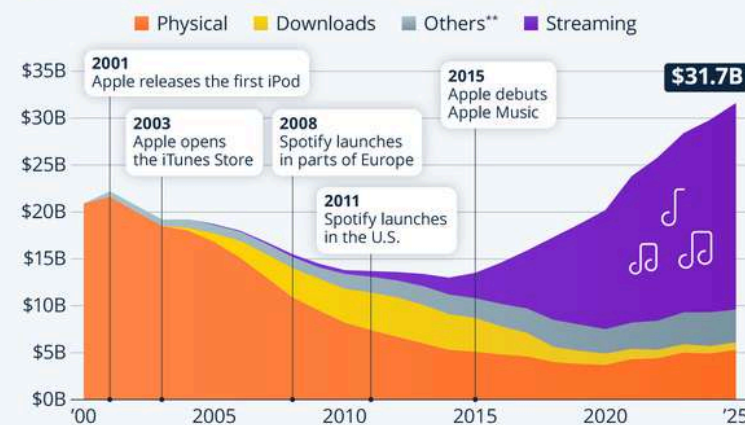
Streaming at Scale

Music streaming now dominates the global music industry, shaping how content is distributed, discovered, and consumed. Platforms like Spotify have become central to this shift, influencing what users hear through algorithm-driven recommendations (IFPI, 2026).

The transition from physical and digital formats to streaming highlights how music consumption is no longer ownership-based, but experience-driven, placing greater importance on how content is presented and interpreted within the platform.

Streaming Is Changing the Tide for the Global Music Industry

Global recorded music industry revenues*



* Not adjusted for inflation ** Includes performance rights and synchronization revenues
Source: IFPI



statista

AI & Platform Response

AI-generated music is increasing rapidly on streaming platforms, leading Spotify to introduce measures such as AI-related credits and spam detection systems. At the same time, Hellman, Spotify's Head of Music Policy, emphasised support for AI as a creative tool, stating that it can enable artists to "create more content" and enhance user experience (Musically, 2025).

However, these measures rely on artist disclosure and are only visible within track credits, limiting their visibility within the user experience (Music Business Worldwide, 2026). This creates a tension between the platform's encouragement of increased content production and the lack of clear, accessible information for users regarding how that content is created.

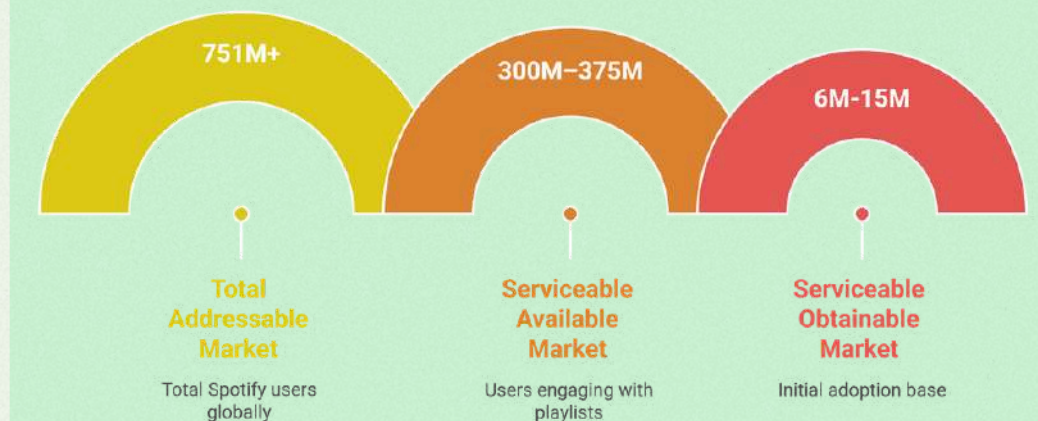
This highlights a gap between platform-level control and user-facing transparency, creating an opportunity for Spotlight to make content origin clearly visible within the listening experience.

Market Focus

TAM (Total Addressable Market): 751M+ Spotify users globally, representing the full potential reach of Spotlight across all users engaging with music streaming and discovery (Spotify, 2026).

SAM (Serviceable Available Market): ~300M–375M users, reflecting the segment of listeners who actively engage with personalised playlists and recommendation systems, which account for over 67% of total streams on the platform (SQ Magazine, 2024).

SOM (Serviceable Obtainable Market): ~6M–15M users, representing an initial adoption base of highly engaged listeners and early adopters within key markets such as the UK, US, and Europe.



Business Model & Revenue Streams

Overview

Spotlight is a user-focused companion app that connects to Spotify and gives listeners visibility and control over the origin of the music they consume. It follows a freemium model, where users can analyse music for free, while more advanced features such as unlimited analysis, listening history, and the ability to filter or prioritise AI-generated content are available through a premium subscription.

The model is driven by user adoption, while also creating additional value for artists and the wider music industry by allowing authenticity to become visible and clearly differentiated in an increasingly AI-driven environment. This positions Spotlight as a multi-sided, user-led model, where value is created for listeners, creators, and industry stakeholders.

Revenue Generation

Spotlight generates revenue through a freemium model, combining user subscriptions, advertising, and additional services for artists and industry stakeholders.

- **Freemium and Advertising**

The app is free to use with limited analysis and no history, supported by in-app advertising.

- **Premium Subscriptions**

Users can upgrade to gain full control over their listening experience, including the ability to filter AI-generated content, prioritise human-created music, and access deeper insights into their behaviour.

- **Artist Verification**

Artists and labels can pay to verify and highlight human-created content. This is particularly valuable for emerging artists who risk being overshadowed by AI-generated music, as well as established artists who want to maintain credibility and support transparency within the industry.

- **Industry Partnerships and Insights**

Spotlight can generate value through aggregated insights on AI trends and user behaviour, creating opportunities to support others streaming platforms in the future and wider industry stakeholders.

Growth and Revenue Projection

Year	Users	Premium Conversion	Paying Users	Estimated Revenue
Year 1	20,000	5%	1,000	~£70,000
Year 2	80,000	6–8%	5,000	~£330,000 –£350,000
Year 3	150,000+	8–10%	12,000	~£750,000+

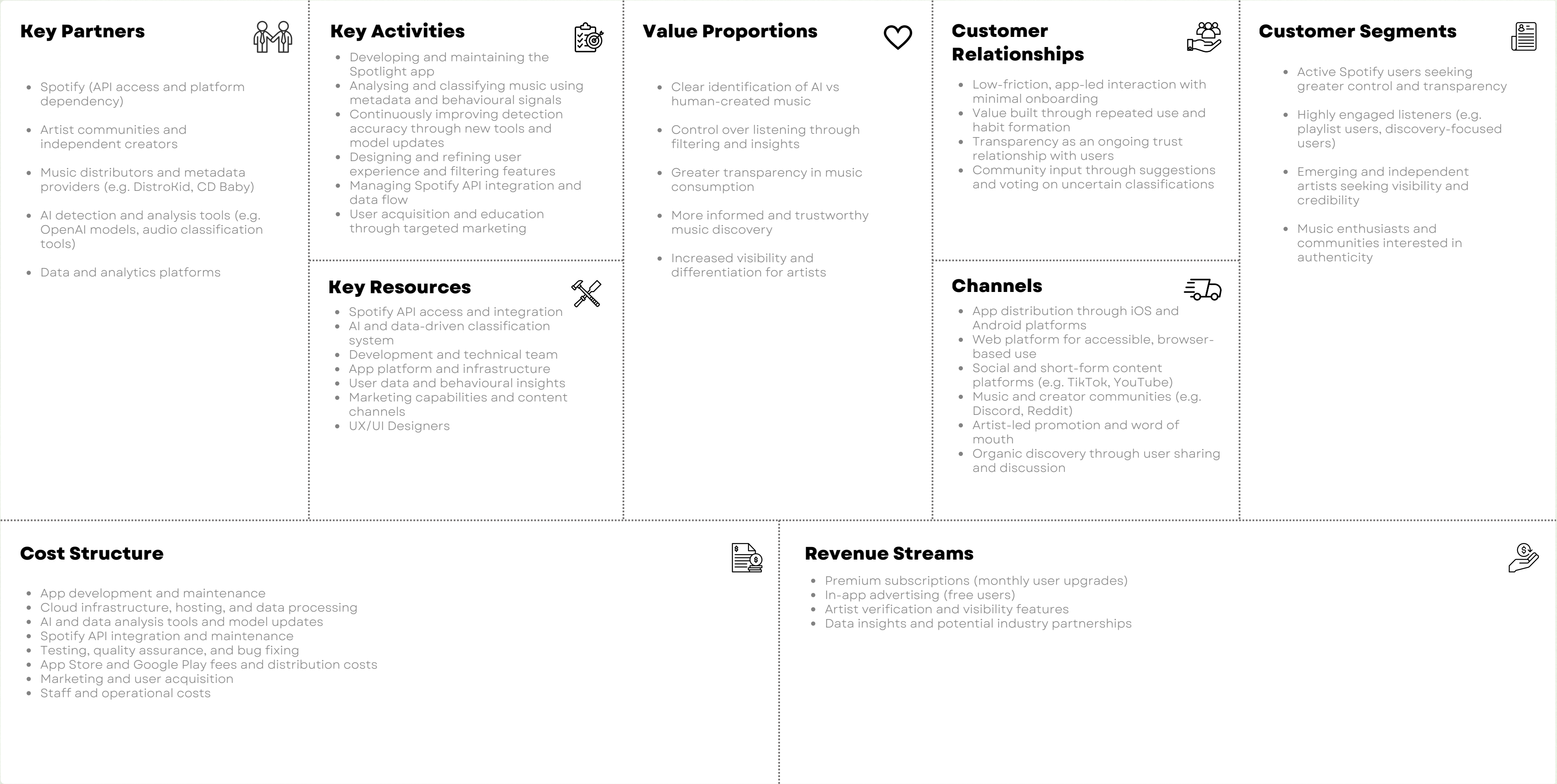
* Estimated revenue is based on a £4.99 monthly subscription (~£60 annually per user), applied to paying users. Values are rounded and supported by additional revenue from advertising and artist verification.

Pricing Structure:

- Premium Subscription: ~£4.99/month per user
- Artist Verification: ~£29/year per artist
- Advertising: introduced after initial user growth

Spotlight fits easily into existing listening habits, adding value without changing how users already use Spotify. This supports early adoption and lowers barriers to entry.

The model is scalable, with revenue growing alongside user engagement and premium conversion. As awareness of AI-generated music increases, demand for transparency is likely to grow, strengthening both user uptake and artist participation over time.



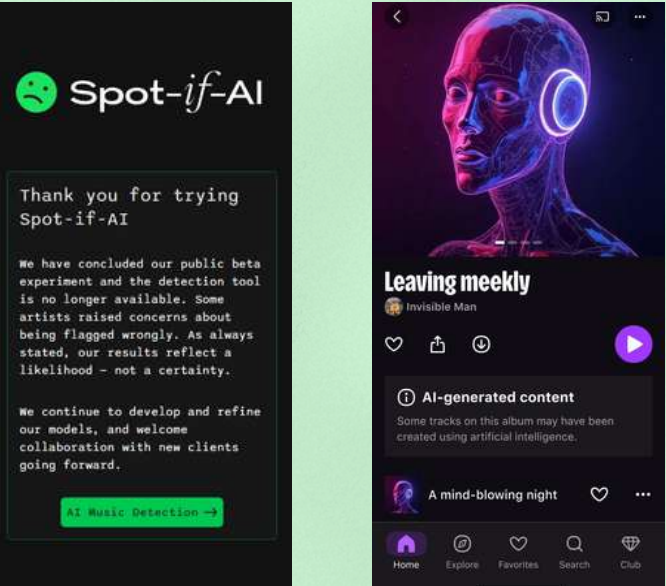
Competitive Landscape & Differentiation

Competitors

The AI music detection space is still early and fragmented. Spot-if-AI was one of the closest examples, but its public beta has ended and the detection tool is no longer available, highlighting the difficulty of building standalone detection tools into sustainable user products.

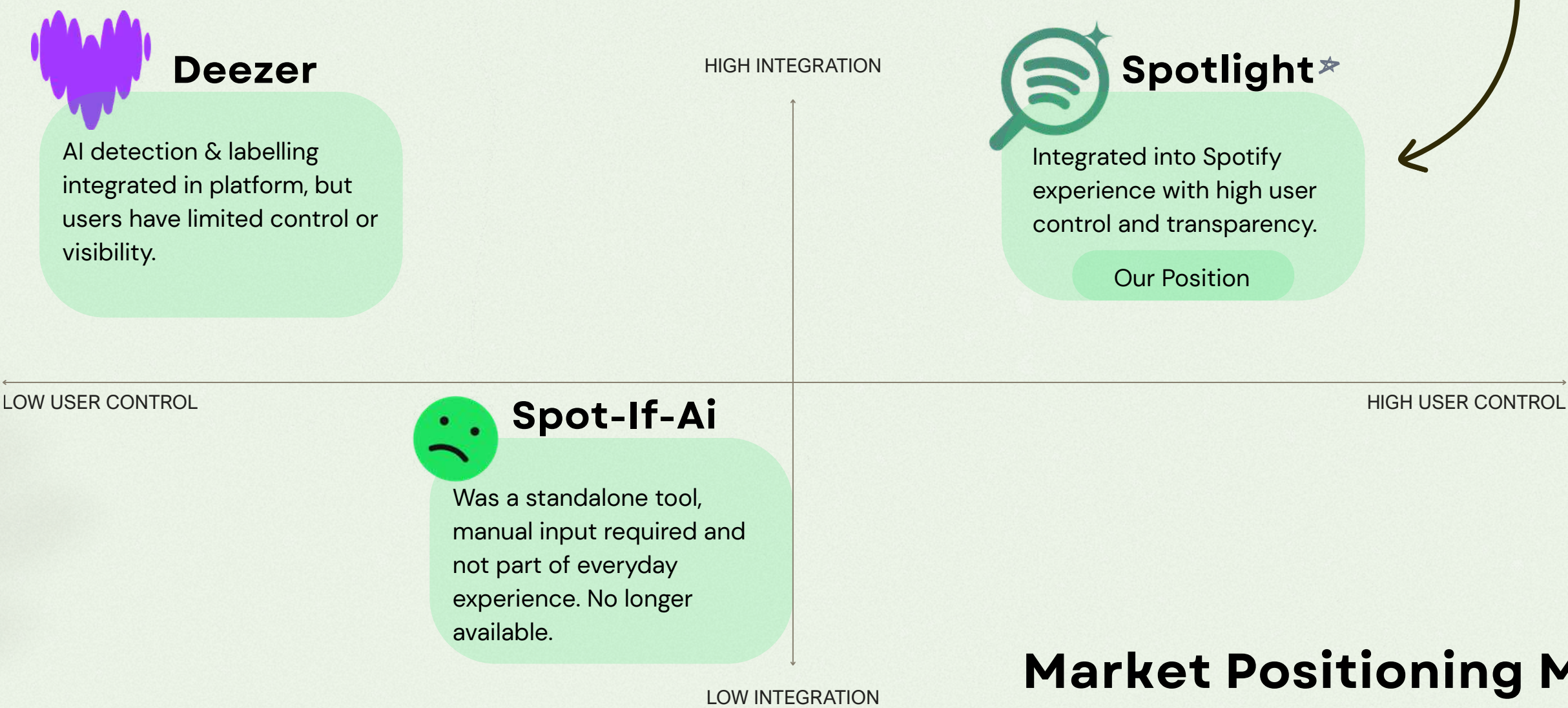
At the platform level, services such as Deezer have introduced internal AI detection and labelling, reflecting growing industry attention. However, these approaches remain platform-controlled and offer limited direct control for users.

This leaves space for Spotlight as a user-facing transparency layer connected to Spotify.



Differentiation

Spotlight differentiates itself by moving beyond simple AI detection and embedding transparency directly into the listening experience. Instead of offering one-off analysis, it provides continuous, user-controlled insight, allowing listeners to filter and understand the music they consume in real time. It also combines automated classification with community input on uncertain cases, creating a more adaptive and trustworthy system. By working alongside Spotify rather than replacing it, Spotlight integrates seamlessly into existing user behaviour while adding a new layer of control and meaning to music discovery.



Market Positioning Map

Go-To-Market Strategy

Target Entry Market

Spotlight will initially target digitally engaged Spotify users, particularly younger audiences and music communities who are active in discovery and more aware of AI-generated content.

The Spotlight app will be released in three phases, focusing on adoption, engagement, and monetisation.

Phase 1: Launch & Early Adoption

- Release a free version (web + app) with limited analysis
- Leverage social and short-form platforms (e.g. TikTok, YouTube) to demonstrate AI vs human music
- Collaborate with independent artists and creators to drive early visibility
- Focus on curiosity-driven use ("Is this song AI?")

Phase 2: Growth & Engagement

- Introduce premium features (unlimited analysis, filtering, insights)
- Encourage habit formation through repeated use
- Build community features (e.g. voting on uncertain classifications)
- Expand through organic sharing and music communities

Phase 3: Monetisation & Scale

- Scale premium subscriptions and introduce advertising
- Launch artist verification features
- Explore partnerships with industry stakeholders
- Expand beyond initial markets as adoption grows

Launch & Early
Adoption

Phase 1

Growth &
Engagement

Phase 2

Monetisation &
Scale

Phase 3



Partnership Strategy

Spotlight will initially operate independently using available API integrations. As the platform grows, it will explore deeper integration opportunities with streaming platforms such as Spotify, with potential expansion into wider ecosystem partnerships over time.

Growth Strategy

Growth will focus on habit formation and user engagement, encouraging repeated use through personalised insights and community features such as voting on uncertain classifications. Organic sharing and discussion will support scalable expansion.

Acquisition Strategy

User growth will be driven through social and short-form platforms such as TikTok and YouTube, using engaging content that highlights the difference between AI-generated and human-created music. Early traction will also come from collaborations with independent artists and music communities.

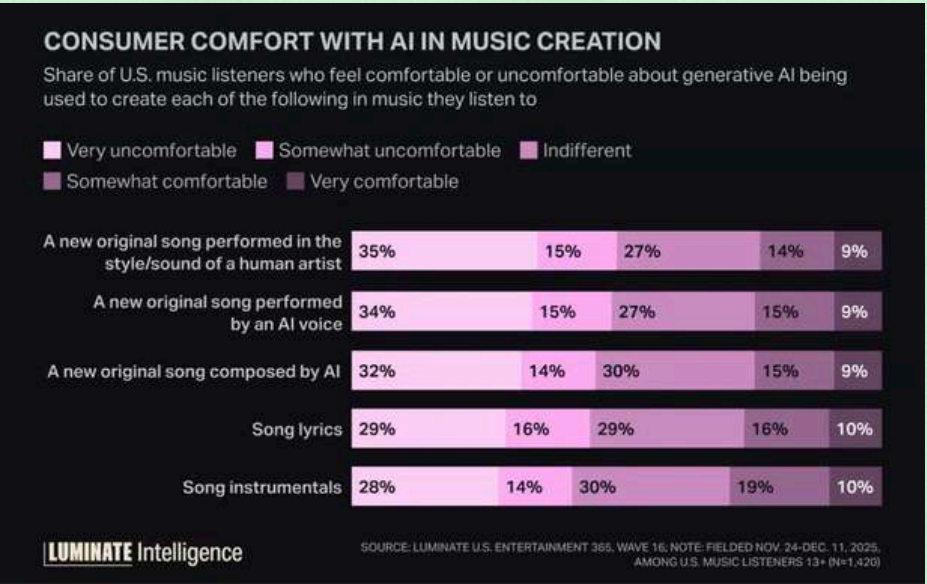
Lean Startup Validation & Product-Market Fit

Market Demand & Alignment

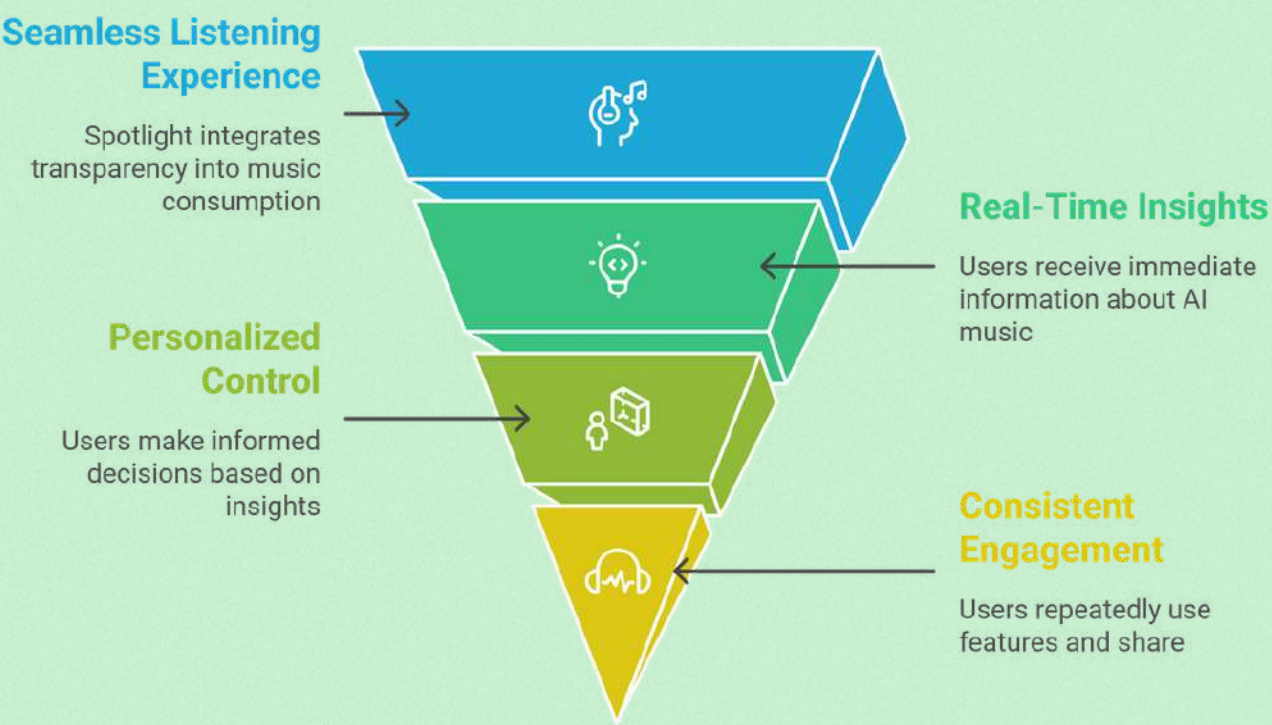
Consumer attitudes towards AI in music creation reveal growing discomfort, particularly when AI is directly involved in generating content. For example, over 50% of listeners report feeling uncomfortable with AI-generated songs, whether through AI voices, composition, or replication of human artist styles (Luminate, 2025). This trend is further reinforced by recent reporting, which highlights growing user demand for greater control over AI-generated music, as well as concerns that a lack of transparency may erode trust within streaming platforms (BBC News, 2026).

Across multiple categories, only a small proportion of users report feeling very comfortable with AI-generated music, while a significantly larger share express discomfort or uncertainty. This indicates that while AI is becoming more prevalent, user acceptance has not kept pace with its adoption.

This imbalance highlights a clear gap between how music is being created and how it is perceived by listeners. Rather than rejecting AI entirely, users appear to seek greater clarity and control over the content they consume.



Product-Market Fit



Spotlight is designed to fit a market where user expectations are shifting faster than the platforms themselves. As AI-generated music becomes more common, listeners are becoming more aware of how content is created and are starting to question what they are hearing. At the same time, artists face increasing difficulty standing out and maintaining credibility.

Rather than treating this as a single problem, Spotlight sits at the intersection of these changing behaviours, introducing a layer of transparency that benefits both sides. It enables listeners to engage more consciously with music, while giving artists a clearer way to signal authenticity.

The product-market fit emerges as this interaction becomes habitual. When users repeatedly rely on Spotlight to understand and filter content, and when artists see value in being distinguishable within the platform, the service becomes embedded within the music experience rather than existing as an optional tool.

Key Metrics & Traction

Key Metrics

Spotlight will track a focused set of performance indicators to measure adoption, engagement, and long-term product-market fit.

Active Users (DAU/WAU)

- Measures overall adoption and platform reach

Scans per User

- Indicates engagement and how often users interact with the core feature

Retention Rate

- Tracks whether users return and build habit over time

Premium Conversion Rate

- Measures the percentage of users upgrading to paid features

Session Frequency

- Reflects how often Spotlight becomes part of the listening routine

Traction Indicators

As an early-stage product, Spotlight will focus on signals of real user interest and behavioural adoption rather than scale alone.

Pre-launch Interest

- Early sign-ups and waiting list registrations will indicate demand prior to release

Initial User Growth

- Gradual increase in active users driven by social content and community engagement

Engagement Behaviour

- Users repeatedly analysing tracks and interacting with features such as filtering and voting

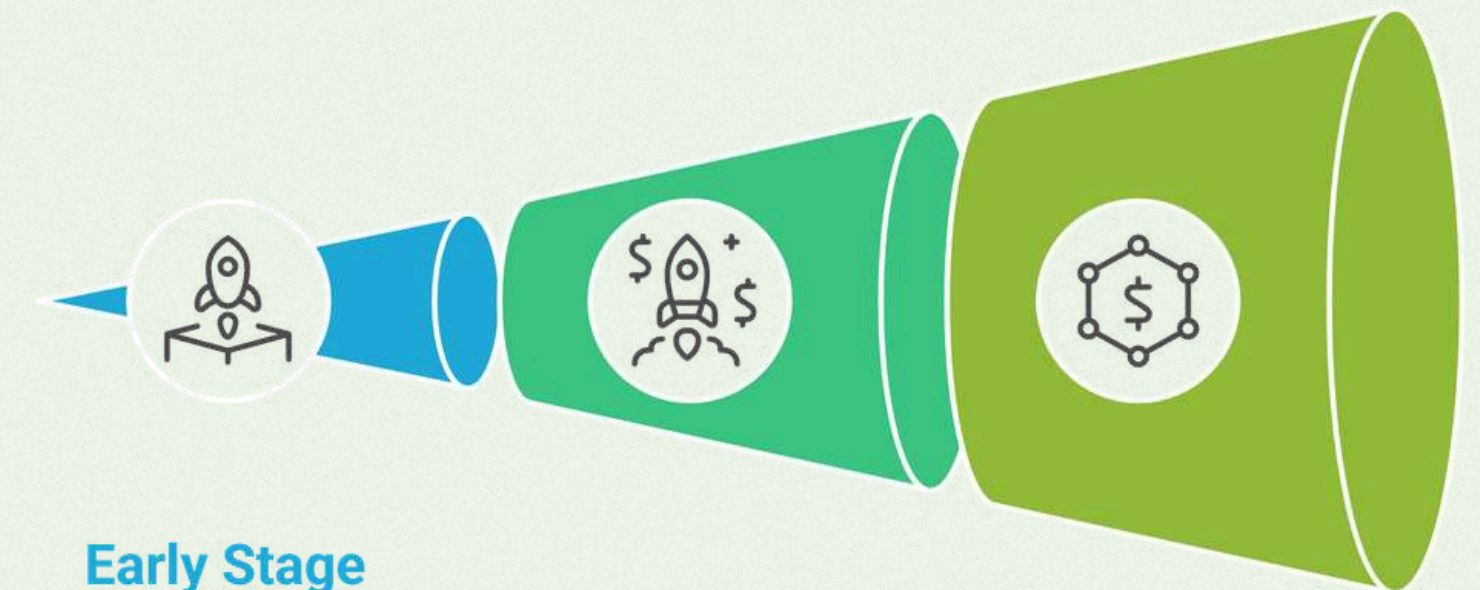
Organic Sharing

- Growth supported by users sharing results and discussions across platforms

Retention Development

- Increasing return rates over time as the platform becomes part of regular listening habits

Spotlight's Growth Funnel



Early Stage

Focusing on user acquisition and awareness

Growth Stage

Introducing premium features and expanding engagement

Scale Stage

Expanding monetisation and exploring integrations

Challenges & Risks

Financial Risks

Cost Area	Description	Estimated Cost
App Development	Initial build (web + mobile platforms)	£20,000 – £60,000 (one-time)
Maintenance & Updates	Ongoing development, bug fixes, improvements	£2,000 – £5,000 / month
Cloud Infrastructure	Hosting, storage, and data processing	£500 – £3,000 / month
AI & Data Systems	Model integration, updates, optimisation	£1,000 – £4,000 / month
Marketing & Acquisition	Social campaigns, content, growth activities	£1,000 – £5,000 / month
App Store Fees	Distribution costs and in-app purchase commissions	15–30% commission

*All costs are indicative and expected to scale alongside user growth and platform usage.

Technical Risks

- Accuracy limitations in AI classification
- Need for continuous updates as AI-generated music evolves
- Scalability challenges as usage grows

Platform Dependency Risks

- Reliance on Spotify APIs and ecosystem
- Potential changes to access or integration limits

Market & Adoption Risks

- Users may not adopt the feature as a habit
- Product may be perceived as non-essential

Trust & Perception Risks

- Risk of incorrect classification (false positives/negatives)
- Potential concerns from artists regarding labelling

REFERENCES

- Deezer (2025) Deezer Ipsos survey on AI music. Available at: <https://newsroom-deezer.com/2025/11/deezer-ipsos-survey-ai-music/>
- PC Gamer (2025) Deezer says it's bombarded by nearly 75,000 fully AI-generated tunes every day and that 97% of study respondents can't tell the difference between human-made and AI music. Available at: <https://www.pcgamer.com/software/ai/deezer-says-its-bombarded-by-nearly-75-000-fully-ai-generated-tunes-every-day-and-that-97-percent-of-study-respondents-cant-tell-the-difference-between-human-made-and-ai-music/>
- Reuters (2025) Are you listening, bots? Survey shows AI music is virtually undetectable. Available at: <https://www.reuters.com/legal/litigation/are-you-listening-bots-survey-shows-ai-music-is-virtually-undetectable-2025-11-12/>
- Spotify (n.d.) Spotify Web API documentation. Available at: <https://developer.spotify.com/documentation/web-api>
- IFPI (2026) Global Music Report 2026: Global recorded music revenues grow 6.4% as record companies drive innovation. Available at: <https://www.ifpi.org/global-music-report-2026-global-recorded-music-revenues-grow-6-4-as-record-companies-drive-innovation/>
- Statista (n.d.) Global recorded music industry revenues. Available at: <https://www.statista.com/chart/4713/global-recorded-music-industry-revenues/>
- Music Ally (2025) Spotify reveals its latest measures to handle AI music. Available at: <https://musically.com/2025/09/25/spotify-reveals-its-latest-measures-to-handle-ai-music/>
- Music Ally (2025) Deezer says 28% of its new music uploads are now AI-generated. Available at: <https://musically.com/2025/09/11/deezer-says-28-of-its-new-music-uploads-are-now-ai-generated/>
- Music Business Worldwide (n.d.) Spotify to show AI tags in song credits where artists have chosen to disclose through their label or distributor. Available at: <https://www.musicbusinessworldwide.com/spotify-to-show-ai-tags-in-song-credits-where-artists-have-chosen-to-disclose-through-their-label-or-distributor/>
- SQ Magazine (n.d.) Spotify user statistics. Available at: <https://sqmagazine.co.uk/spotify-user-statistics/>
- Qosmo Inc. (n.d.) Spot-if-AI. Available at: <https://github.com/QosmoInc/Spot-if-AI>
- Deezer (2026) AI-generated tracks represent 44% of new uploaded music. Available at: <https://newsroom-deezer.com/2026/04/ai-generated-tracks-represent-44-of-new-uploaded-music/>
- Luminate (2025) Consumer survey finds increasing discomfort with generative AI in music. Available at: <https://luminatedata.com/blog/consumer-survey-finds-increasing-discomfort-with-generative-ai-in-music/>
- BBC News (2026) Why Spotify has no button to filter out AI music. Available at: <https://www.bbc.co.uk/news/articles/cd7jpg4w181o>